

Can Unisys-Wipro Alliance Cover All Outsourcing Bases?

Market Event

Unisys Corp. and Wipro Technologies have linked up in an alliance that can service the IT outsourcing customer both on-site and offshore. Recent Aberdeen research shows that the typical outsourcing buyer can gain advantages on two fronts, rather than on one at the expense of another: the **cost savings** of offshore work coupled and the **added customer care** of working with someone close by from the outsourcing provider's team. This partnership between two key players in the IT outsourcing arena has the potential to do just that and possibly more.

Aberdeen Analysis

Cheaper labor and high quality have combined to form the foundation of India's rise as an information technology powerhouse over the last decade. So, little wonder that respondents to Aberdeen's recent benchmark survey on *Outsourcing Application Development and Maintenance* whose companies outsource work to that country cited cost savings as the chief driver behind their application outsourcing strategies.

Wipro is one of the top three Indian providers and – not surprisingly – its customers' focus on cost savings was more than evident in the survey. But at the same time, most of those customers cited communication or cultural "gaps" with the provider as a top challenge in their outsourcing relationships. On the other hand, customers of U.S.-based

Unisys had a lower emphasis on cost control, while the communication and cultural gaps were not that much of a concern (Table 1).

Key Aberdeen Survey Findings

- Most Wipro customers cited communication or cultural "gaps" with the provider as a top challenge in their outsourcing relationships.
- Unisys clients had a lower emphasis on cost control, while the communication and cultural gaps were not that much of a concern.

Table 1: Top ADM Outsourcing Challenges for Unisys and Wipro Clients

	#1 Challenge	#2 Challenge	#3 Challenge
Unisys Customers	Integration, testing, and/or QA work took more effort than expected	Communication or cultural "gaps" with providers	Securing a provider with the right skill set
Wipro Customers	Communication or cultural "gaps" with providers	Securing a provider with the right skill set	Integration, testing, and/or QA work took more effort than expected
FULL SURVEY	Integration, testing, and/or QA work took more effort than expected	Securing a provider with the right skill set	Communication or cultural "gaps" with providers

Source: AberdeenGroup, November 2006

Announcement

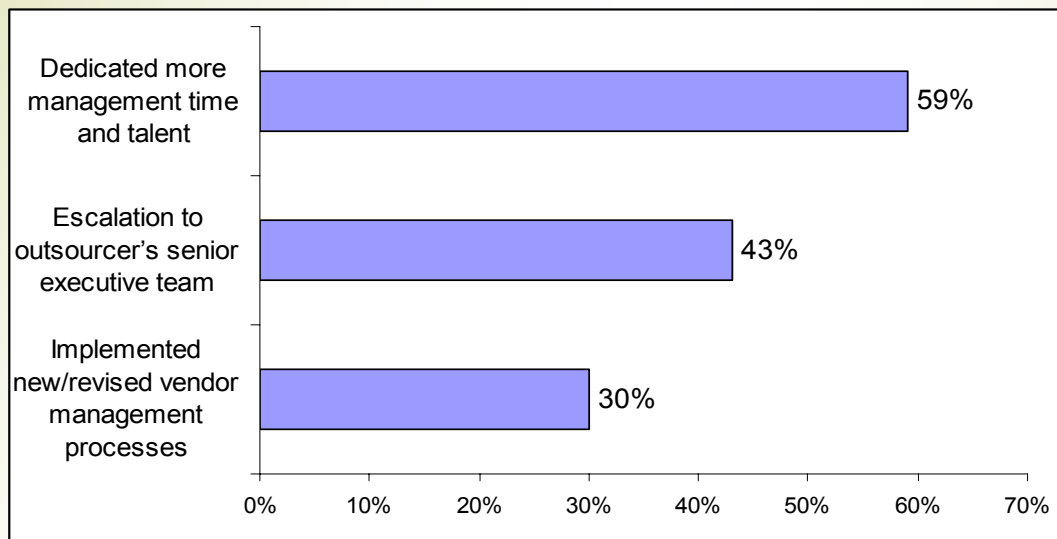
[Click here](#) to download a complimentary copy of the *Outsourcing Application Development and Maintenance* benchmark report.

Customers of both vendors cited cost savings and the freedom for internal IT to focus on more strategic work as key benefits in outsourcing ADM work. However, Wipro may bring an added benefit to the table: Half of its customers that were represented in the survey cited **improved version control and lifecycle management** as a benefit in outsourcing application work. Anything that can simplify IT operations can pay off in indirect savings and efficiency.

Further, most Unisys customers said a key response to challenges in outsourcing relationships is **implementing new or revised vendor management processes**. By comparison, most Wipro clients did not cite process changes as a response to challenges.

Most companies in the *Outsourcing Application Development and Maintenance* survey said vendor management costs and effort were higher than they had expected, highlighting the special operational challenges that working with third-party providers in the delivery of critical business functions can pose. Further, a majority of survey respondents for a previous report, *The Business Value of IT Outsourcing*, indicated they dedicated more management time and resources to help overcome initial challenges in their outsourcing relationships (Figure 1), while 30% tinkered with vendor management processes.

Figure 1: How Companies Overcame Initial IT Outsourcing Challenges



Source: [AberdeenGroup](#), November 2006

Aberdeen Conclusions and Recommendations

The Wipro-Unisys alliance combines cost savings with tighter customer focus. As Wipro's subcontractor, Unisys will provide Wipro clients with local support services, including desktop and server maintenance, desk-side support; equipment installs, moves, adds and changes (IMACs); and tape exchanges at data centers. Wipro, meanwhile, will handle remote services, including remote server management and service desk/help desk support.

The alliance has already won a major deal with a U.S.-based Fortune 500 company, according to a statement from Unisys: It will be a subcontractor to Wipro in providing managed services, while both companies will support more than 20,000 of the company's employees in the U.S., Canada, and the U.K.

An organization looking to outsource an IT function should first be sure what it wants to accomplish in sending the work to a third-party provider. If cost savings and operational efficiency are as important as a good working relationship, it may want to consider how such an alliance between two major players in the IT outsourcing space can help it achieve those benefits.

Above all, an IT organization with at least a year of experience in outsourcing should be able to determine what it needs to manage the relationship. It would be best to hold accountable one person who must know what the provider needs to deliver, how it's performing its duties, and to be aware of any end-user complaints. In addition, this person should have strong relationship management skills.

Recommendations for Action

- ✓ **Outsource for the right reasons.** Are you looking to save money? Improve operations? Both?
- ✓ **Manage the relationship.** It would be best to have one person on point for overseeing a provider.
- ✓ **Best of both worlds?** An alliance such as Unisys-Wipro may help you save money while improving operational efficiency.

Related Research

[*Outsourcing Application Development and Maintenance*](#); November 2006

[*The Legacy Application Modernization Benchmark Report*](#); September 2006

[*Achieving More Value from Enterprise Integration Benchmark Report*](#); May 2006

[*Building Better Composite Applications*](#); October 2006

[*Enterprise Service Bus and SOA Middleware*](#); June 2006

[*The Business Value of IT Outsourcing*](#); July 2006

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